

**UNITED STATES INTERNATIONAL TRADE COMMISSION
WASHINGTON, D.C.**

In the Matter of

**CERTAIN SEMICONDUCTOR DEVICES,
PRODUCTS CONTAINING SAME, AND
COMPONENTS THEREOF**

Investigation No. 337-TA-3896

**THIRD PARTY STATEMENT ON THE PUBLIC INTEREST
OF A NEW POLICY, INC.**

April 8, 2026

A New Policy¹ submits these comments in response to the United States International Trade Commission’s Notice of Request for Statements on the Public Interest in Investigation No. 337-TA-3896. The issues raised in the Complaint implicate significant public interest concerns. Semiconductors are vital to defense, critical infrastructure, and high-tech innovation. The issues set out in the Complaint highlight a broader, systemic threat to U.S. national interests, including critical technology manufacturing. This threat stems from three interrelated factors:

Security Exposure: The Israeli tech ecosystem introduces both strategic and cybersecurity risks. Reliance on foreign-controlled manufacturing of advanced semiconductors exposes the supply chain to unvetted technology and potential cyber vulnerabilities.

Economic Impact: Unfair competitive practices by Israel and a network of Israeli firms — the “Israeli tech ecosystem” — erode the U.S. manufacturing and economic base, undermining domestic capacity and weakening the competitiveness of American companies.

Intellectual Property Erosion: A well-documented track record of patent infringement and misappropriation of U.S. technology by the Israeli tech ecosystem allows foreign firms to free-ride on American innovation, diminishing the value of U.S. intellectual property rights and undermining incentives to invest in next-generation semiconductor design and manufacturing.

These factors converge to create a systemic vulnerability: the U.S. risks losing both strategic technological leadership and the economic and security benefits of a robust domestic semiconductor industry. Addressing these concerns is essential to safeguard national security, protect U.S. innovation, and ensure the resilience of the domestic industrial base.

¹ A New Policy, Inc. is a 501(c)(4) nonprofit organization dedicated to aligning United States policies toward Israel with U.S. national interests.

Maintaining comprehensive, end-to-end controls across the semiconductor supply chain is essential to safeguarding U.S. technological leadership and national security. The CHIPS and Science Act was enacted to advance this objective of strengthening U.S. semiconductor manufacturing and supply chain security by ensuring that critical semiconductor components are produced under trusted conditions.² Additionally, the U.S. Department of War (“DoW”) relies on a “Trusted Foundry” program to assure the integrity and confidentiality of integrated circuits during design and manufacturing.³ Complainant is a beneficiary of CHIPS Act support, is a “trusted supplier” to the DoW, and has committed \$16 billion in additional U.S. investment.⁴

By contrast, when supply chains fall outside these safeguards, vulnerabilities inherent in reliance on foreign-manufactured technology are compounded when foreign states leverage both civilian and military capabilities for espionage. For example, in 2024, Israel executed a covert military operation in Lebanon in which thousands of handheld pagers and communication devices were rigged to explode. Reporting indicates that these devices were tampered with somewhere in the supply chain prior to reaching their end users.⁵ This incident illustrates Israel’s demonstrated ability and operational intent to manipulate critical technology within the commercial supply chain, highlighting the potential risks posed by reliance on foreign-manufactured technology – and demonstrating Israel’s willingness to leverage private companies to carry out covert intelligence and security operations.

² The International Trade Council, [*US CHIPS and Science Act \(2022\) & Semiconductor Supply Chain Security*](#) (Jan. 23, 2025). *See also* Congressional Research Service, [*Semiconductors: U.S. Industry, Global Competition, and Federal Policy*](#) (Oct. 26, 2020).

³ U.S. Department of Defense, Defense Microelectronics Activity, Trusted Access Program Office, [*Trusted Supplier Program*](#); Forbes, [*GlobalFoundries’ Trusted Foundry Status Helped Secure CHIPS Act Investment*](#) (Mar. 18, 2024). Note that Complainant is itself majority owned by a foreign interest, which further highlights the vulnerabilities of the US semiconductor manufacturing industry, but is protected from the potential harms outlined in this submission by nature of its onshore manufacturing and status as a U.S. corporation.

⁴ Complaint, paras. 1.2-1.5.

⁵ Al Jazeera, [*Lebanon Explosions Raise Alarm About Supply Chain Security, Safety of Tech*](#) (Sep. 19, 2024).

Moreover, modern semiconductor devices contain billions of transistors. Because these chips are so complex, hidden backdoors or kill-switches can be embedded at the architectural level and remain undetected.⁶ These vulnerabilities are extremely difficult to detect once the chip is installed. Such vulnerabilities could result in the theft of sensitive data or disruption of critical infrastructure, including power grids, communications networks, and vehicles. Without comprehensive oversight at every stage of the chip lifecycle, these vulnerabilities pose a risk to U.S. national security and economic interests.

Over several decades, Israel has engaged in both economic and strategic espionage against the United States, including through the Israeli tech ecosystem. In March 2024, the U.S. Treasury banned a Greece-based spyware company linked to former Israeli intelligence officer, Tal Dilian, for targeting U.S. officials and journalists.⁷ In November 2021, Israel's NSO Group, known for spyware, was blacklisted by the U.S.⁸ According to media reports, the U.S. has ranked Israel as the third-most aggressive intelligence service against the US, and veterans of Israel's military intelligence service, "Unit 8200", populate not only Israel's technology ecosystem, but, increasingly, America's, too.⁹

This pattern similarly reflects the military–civil fusion employed by another U.S. strategic rival, the People's Republic of China ("PRC"). Tower has demonstrated exposure to geopolitical pressures from adversarial states, including the PRC, and maintains several strategic partnerships with PRC-based companies,¹⁰ including Zhongji Innolight, identified by the U.S. Department of

⁶ See GovFacts, [Why America's National Security Council Obsesses Over Microchips](#) (Dec. 6, 2025); NVIDIA Blog, [No Backdoors. No Kill Switches. No Spyware.](#) (Aug. 5, 2025); National Institute of Standards and Technology, NIST SP 800-160v1r1: [Engineering Trustworthy Secure Systems](#) (Nov. 2022).

⁷ ICIJ, [Greek Court Convicts Intellexa Founder Tal Dilian, Three Others in Wiretapping Scandal](#) (Feb. 26, 2026).

⁸ Eurasia Review, [Israel's Covert Economic Espionage Against Its Strategic Ally](#) (Jun. 7, 2024).

⁹ The Guardian, [NSA Shares Raw Intelligence Including Americans' Data with Israel](#) (Sep. 11, 2013); Dropsite News, [Hundreds of Former Israeli Spies Are Working in Big Tech, Database Shows](#) (Aug. 13, 2025).

¹⁰ Tower Semiconductor, [Tower Semiconductor and Tianyi Micro Announce Strategic Cooperation in Development of Next Generation OLED Micro Displays for AR/VR](#) (Feb. 26, 2024); Tower Semiconductor, [Tower Semiconductor](#)

War as a “Chinese Military Company,”¹¹ and Beijing Tianyi, listed by the U.S. Department of Commerce on the Entity List.¹² Allowing a foreign-operated foundry with ongoing PRC commercial connections to supply technology to the U.S. sectors potential national security risks.

Beyond the security issues, Israel’s technology ecosystem engages in practices that systematically undermine the competitiveness of U.S. firms and distort the U.S. domestic market, for instance by leveraging U.S. intellectual property while underinvesting in R&D and production capacity. Unlike U.S. IDMs, which invest billions in domestic fabrication infrastructure and R&D, many firms in the Israeli tech ecosystem operate as fabless or “fab-lite” companies, as Israeli tech leaders encourage a “fast-follower” approach.¹³ This allows them to lower overall investment costs by iterating on existing U.S. innovation rather than developing technologies independently. This underinvestment creates an unfair cost advantage that enables these firms to price products in the U.S. market below the sustainable marginal cost for domestic companies, effectively undercutting prices that reflect the fair cost of production and innovation.

It should also be noted that the Israeli tech sector is generally “exit-oriented” — developing start-ups in Israel, selling products into the U.S., and eventually being acquired by U.S. firms, often at over-inflated valuations.¹⁴ This creates a one-way flow of benefits: the U.S. invests in technology and infrastructure, while Israeli firms capture market share, profits, and inflated valuation.¹⁵

Israeli government support further distorts competition in the semiconductor industry. Israel has

[and Innolight Partner to Develop Multi-Generation Silicon Photonics Based Optical Transceivers](#) (Sep. 7, 2023).

¹¹ Bloomberg News, [Pentagon Cited Alibaba on China Military Aid in Oct. 7 Memo](#) (Nov. 26, 2025).

¹² Federal Register, [Additions and Revisions to the Entity List](#), 90 FR 44496 (Sep. 16, 2025).

¹³ Wave Podcast, [Israel’s Exposure to the AI Bubble](#) (Nov. 12, 2025).

¹⁴ Israel Tech Insider, [Why Israel Can’t Build Tech Giants?](#) (Mar. 30, 2026); Globes, [Israel’s Most Overvalued Cybersecurity Startups Exposed: Report](#) (Jun. 9, 2022).

¹⁵ See OEC World, [United States Trade with Israel](#) (Jan. 2026); Israel Ministry of Economy and Industry, [What Does Israel Export – Really?](#) (Dec. 22, 2025).

implemented an aggressive policy that includes direct grants, tax incentives, and state-backed investment mechanisms to support its domestic technology sector. Tower appears to benefit from investments from Israel's Innovation Authority, as well as preferential tax treatment under Israel's "Preferred Enterprise" regime, through which it is entitled to a 7.5% preferred tax rate, significantly below the U.S. statutory rate of 21%.¹⁶ A foreign foundry that benefits from such state-backed advantages while allegedly infringing U.S. patents presents a form of unfair competition that falls squarely within the scope of the ITC's exclusion authority. Taken together, these forms of support provide Israeli semiconductor firms with structural cost advantages that U.S. competitors cannot replicate. When combined with the alleged misappropriation of U.S. intellectual property, these subsidies amplify the distortion of competition in the U.S. market and further disadvantage domestic manufacturers.

Remedies excluding these devices and their components from the U.S. market are vital to the U.S. public interest. Failure to implement these remedies threatens U.S. national and economic security. In light of these public interest issues, the Commission should use its statutory authority to exclude imports of these devices and their components from the U.S. market.

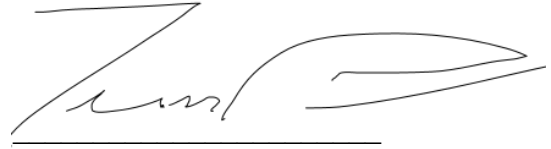
Finally, as Tower's most recent 20-F filing states: "It may be difficult to enforce a U.S. judgment against us, our officers and directors or to assert U.S. securities law claims in Israel or serve process on our non-U.S. resident officers and directors."¹⁷ Thus, civil litigation, such as the suits filed separately by the Complainant, may not provide adequate redress of these matters.

¹⁶ U.S. Securities and Exchange Commission, Tower Semiconductor Ltd., [Form 20-F Annual Report](#) for the Fiscal Year Ended December 31, 2024 (filed Apr. 30, 2025) p. 72.

¹⁷ U.S. Securities and Exchange Commission, Tower Semiconductor Ltd., [Form 20-F Annual Report](#) for the Fiscal Year Ended December 31, 2024 (filed Apr. 30, 2025) p. 19.

Dated: April 8, 2026

Respectfully Submitted,

A handwritten signature in black ink, appearing to read 'Josh Paul', written over a horizontal line.

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